NALCO OFFICERS' ASSOCIATION

S&P Coal Complex, Angul | Corporate Office, Bhubaneswar | M&R Complex, Damanjodi

S&P COAL COMPLEX (ANGUL)

Debashis Mishra (President)
Mob: +91 9437010979
Nalini Kanta Panda (GS)
Mob: +91 9437963907

CORPORATE OFFICE (BHUBANESWAR)

Goutam Das (President)
Mob: +91 9437023666
Amlan Mohapatra (GS)
Mob: +91 9437486747

M&R COMPLEX (DAMANJODI)

Manas Ranjan Behera (President)
Mob: +91 9437494541
Ranajit Nayak (GS)
Mob: +91 9437156740

Ref No: JR/NOA-07

Date: 28-10-2026

To,

The Chairman-cum- Managing director

NALCO Bhawan, P/1, Nayapalli, Bhubaneswar

Subject: JOINT REPRESENTATION AGAINST THE UNILATERAL AND REGRESSIVE MODIFICATION OF NALCO R&P POLICY-2025 — DEMAND FOR IMMEDIATE WITHDRAWAL AND RESTORATION OF THE EXISTING PROMOTION CYCLE.

Revered Sir,

We, on behalf of Officers' fraternity of NALCO express our gratitude for conducting apex level meeting with representatives of all three officers' association after a long gap. We want to draw your kind attention to some of discrepancies in the recently uploaded NALCO R&P Policy-2025 in NALCO intranet.

We would like to write this joint representation not as a routine policy observation, but with deep anguish, disappointment and a profound sense of grievance on behalf of the officers' fraternity of NALCO. The recent modification of the Recruitment and Promotion (R&P) Policy-2025, particularly the shifting of the Departmental Promotion Committee (DPC) cycle from June to December and the consequential change in the effective date of promotion, has caused serious concern among executives whose careers, financial progression and professional expectations are directly affected.

The concern is not merely about a change of calendar, but also about the manner in which a long-established system has been altered, the absence of meaningful consultation with the Officers' Associations and the real cost imposed on officers who have continued to discharge their responsibilities with commitment and sincerity. For a company that expects ownership, accountability and sustained performance from its executives, a decision that effectively postpones their promotion prospects by six months is deeply demoralising and difficult to reconcile with the principles of fairness, transparency and participative management.

1. Six-month setback imposed on serving executives:

Clause 1.1.20.1, under "General Principles", changes the effective month of DPC from June to December and shifts the effective date of promotion from 1 July of the same calendar year to 1 January of the following calendar year. In practical terms, executives who would otherwise have been considered for promotion from 1 July 2027 onwards face an additional six-month wait. This is not a minor administrative adjustment: it delays career progression and the financial benefits attached to promotion. The cumulative impact over the remaining years of service may be substantial.

2. Break with more than three decades of established practice:

The June DPC cycle had been followed in NALCO for more than 30 years. The frequency of executive DPCs was reportedly twice a year until 2006 and was subsequently reduced to once a year. Against this history, a further six-month extension of the promotion waiting

period raises a fundamental question: what compelling organisational necessity justified this change, and why has that rationale not been transparently placed before the officers who bear its consequences? No convincing explanation was provided to the associations at the apex-level meeting held on 9 October 2026.

3. Serious concern over the absence of prior consultation and transparency:

The three Officers' Associations represent the collective aspirations and concerns of NALCO's executives. Yet such a consequential change affecting promotion eligibility and service-related benefits was finalised without prior consultation with the associations. The modified policy refers to Circular No. CHRD/RR 2.3/907/2026 dated 22 May 2026, but the circular was not circulated through the usual employee information channels, such as NALCO mail or the Intranet, as understood by the associations. The revised policy appeared on the Intranet only after a gap of approximately five months from the date of the cited circular. This sequence has inevitably created an impression of opacity and has eroded confidence in the policy-making process. Decisions of this magnitude must not leave employees feeling that changes affecting their careers have been made behind closed doors.

4. The timing is particularly unfair in the present manpower situation:

NALCO has experienced substantial executive superannuation in recent years. Recruitment of trainees and lateral entrants has not fully removed the pressure on the existing executive workforce, particularly in the context of attrition at entry levels. Serving executives are shouldering enhanced responsibilities to maintain production, reliability, safety and operational performance. In these circumstances, postponing promotion consideration risks conveying that increased responsibility and sustained contribution are not being matched by timely career progression. Such a change can weaken morale precisely when the organisation needs its executives to remain highly motivated.

5. The transition creates avoidable ambiguity and inequity:

The conduct of two DPCs on the basis of a single appraisal rating raises questions about consistency and fairness in assessment. Further, executives due to become eligible for promotion in July 2027 should not be made to suffer a transitional disadvantage because the cycle has been shifted. At a minimum, the transition must protect the legitimate expectations of affected executives and ensure that no officer loses six months of eligibility solely because of the change in schedule. The Company must clarify the treatment of the affected cohort in writing and adopt a fair transitional arrangement.

6. The revised cycle weakens the relevance of performance assessment:

December DPC relying on appraisal data for the previous financial year, ending in March, may assess an executive's promotion suitability on performance that is already around nine months old, while a significant part of the current financial year has elapsed. This raises a legitimate concern about whether the assessment reflects the officer's current responsibilities and performance. A promotion system should be timely, credible and aligned with the organisation's operational realities—not one that increases the gap between the performance being assessed and the decision being taken.

7. The impact extends beyond the promotion order:

A delayed promotion does not postpone only a designation. It may defer higher basic pay, allowances, increments and consequential retirement benefits. The effect can compound over the remaining service period. Officers who have planned their careers and financial commitments around the established promotion cycle are entitled to a clear, reasoned and fair explanation for a change of this magnitude. The burden of an unexplained policy transition should not fall disproportionately on the very executives whose work sustains the organisation.

8. A serious blow to morale and trust:

The associations are deeply concerned that the manner and substance of this modification risk damaging the trust between management and the executive workforce. When a longstanding arrangement is changed without transparent communication and meaningful engagement, the resulting grievance cannot be dismissed as resistance to change. It is a legitimate demand for fairness, predictability and respect. The officers' fraternity expects to be treated as a stakeholder in decisions that directly shape its career progression—not merely as the recipient of decisions already taken.

OUR FORMAL DEMANDS

In view of the above, all the Officers' Associations of NALCO jointly and firmly demand the following:

(i) Withdrawal of the modification shifting the DPC cycle from June to December and restore the established June DPC cycle and the corresponding effective promotion date of 1st July;

(ii) Pending withdrawal, to ensure that executives whose promotion eligibility would arise from 1st July 2027 are not subjected to an additional six-month loss and provide an equitable transitional arrangement without prejudice to their eligibility, seniority or financial entitlements;

(iii) Circulate the complete circular and all relevant approvals, along with the reasoned administrative and organisational justification for the modification, to all executives through official communication channels;

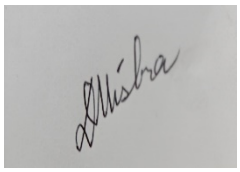
(iv) Convene a time-bound meeting with representatives of all three Officers' Associations before taking any further decision affecting the R&P Policy, and record the outcome and management's response in writing; and

(v) Issue a clear written clarification on the treatment of appraisal ratings, eligibility dates and financial consequences for all officers affected by the transition.

We would like to place on record that the present grievance is serious, widespread and entirely avoidable. We are not in a position to accept a change that delays the career progression of executives without a transparent, compelling justification and a fair transition. Therefore, we urge the Management to treat this representation with the urgency and seriousness it warrants, and to communicate a reasoned decision at the earliest.

Pertinent to mention here that, the Officers' Associations remain committed to NALCO's growth and performance. That commitment, however, must be met with fairness, openness and respect for the legitimate aspirations of its executives. We trust that Management will correct this decision before the avoidable erosion of morale and confidence becomes deeper.

Yours sincerely,

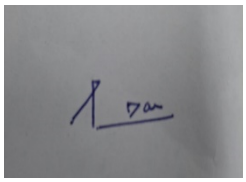


Debashis Mishra

(PRESIDENT)

(NOA)

S&P COMPLEX

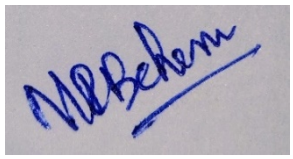


Goutam Das

(PRESIDENT)

(NOA)

Corporate Office

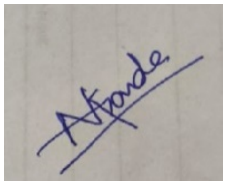


Manas Ranjan Behera

(PRESIDENT)

(NOA)

M&R COMPLEX

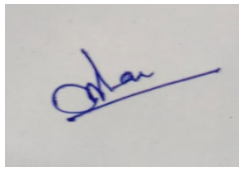


Nalini Kanta Panda

(GENERAL SECRETARY)

(NOA)

S&P COMPLEX

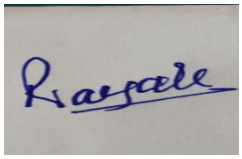


Amlan Mohapatra

(GENERAL SECRETARY)

(NOA)

Corporate Office



Ranajit Nayak

(GENERAL SECRETARY)

(NOA)

M&R COMPLEX

Copy to: - D(Hr), Dir (P), Dir (P&T), Dir (Fin), Dir (Commercial), ED (HR) Corporate, ED (S&P), ED (M&R)